

File No.: EXP202313713

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On January 29, 2024, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against IDFINANCE SPAIN, S.A.U. (hereinafter referred to as the respondent). After notifying the initiation agreement and analyzing the allegations presented, on April 26, 2024, the proposed resolution was issued, which is transcribed below:

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File No.: EXP202313713

PROPOSED RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for Data Protection and based on the following:

BACKGROUND

FIRST: On August 28, 2023, A.A.A. (hereinafter referred to as the claimant) filed a complaint with the Spanish Agency for Data Protection.

The complaint is directed against ID FINANCE SPAIN, S.A.U. with NIF A66487190 (hereinafter referred to as the respondent).

The grounds for the complaint are as follows:

The claimant states that the respondent includes their personal data in credit information systems, in relation to a debt that is currently contested and has been admitted for processing in the Court of First Instance number X of Barcelona, and that a complaint has been filed with this Agency (file number EXP202303972), in which the respondent indicated that it would remove the claimant's data from the credit information systems.

The claimant provides the court's admission for processing, dated March 10, 2023; a document communicating the removal of their data from the credit information systems, dated May 5, 2023; and a report from ASNEF regarding the inclusion of their data at the request of the respondent, dated August 27, 2023.

SECOND: On October 6, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the claimant was admitted for processing.

THIRD: According to the report obtained from the AXESOR tool, the entity ID FINANCE SPAIN, S.A.U. is a large company established in 2015, whose corporate purpose is the granting of non-mortgage loans or credits to any person, with a workforce of 146 employees, and a turnover of €178,771,000 in 2022.

FOURTH: On January 29, 2024, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent, in accordance with the provisions of Articles 63 and 64 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), for the alleged infringement of Article 6 of the GDPR, classified under Article 83.5 of the GDPR.

FIFTH: After notifying the aforementioned initiation agreement in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), the respondent submitted a written statement of allegations in which, in summary, it stated the following:

The aggravating factors provided for in the initiation agreement should not be classified as applicable, considering that such aggravating factors should not apply because ID FINANCE is a credit entity, as it falls outside the scope of Law 10/2014, of June 26, on the regulation, supervision, and solvency of credit entities.

ID FINANCE removed the claimant's data from the ASNEF file in March/May 2023 and has technical and organizational security measures in place to ensure that only customer data is communicated to credit information systems when they meet the legal requirements to do so. However, it must be considered that there is always the possibility of human error and even technical error affecting the

outcome of the management.

In this specific case, it was a technical error that caused the re-registration of the claimant's data in ASNEF, which was immediately removed by ID FINANCE upon learning of the origin of the error communicated by the claimant.

ID FINANCE has taken all measures that were reasonably effective and appropriate to achieve the expected result, taking into account the means available to remove the claimant's data.

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In any case, this is a security incident related to the confidentiality of the Claimant's data caused by a technical error (the misconfiguration of the Claimant's customer file button) and does not involve any data processing as outlined in the ID FINANCE Record of Processing Activities.

That is to say, since it is a case of erroneous data processing, there is no legal basis provided by ID FINANCE, as it was a security incident related to the confidentiality of the data, which, after conducting the appropriate investigations, concluded that it was not necessary to report it to the AEPD due to the nature, volume of affected individuals, type of data, and scope of the incident; nor was it deemed necessary to inform the Claimant, since it was he who notified the incident.

SIXTH: On March 18, 2024, the instructor of the procedure reproduces for evidentiary purposes the complaint filed by A.A.A. and its documentation, the documents obtained and generated during the admission phase of the complaint, and the report of prior investigative actions that are part of the procedure.

Likewise, for evidentiary purposes, the allegations against the initiation agreement of the referenced sanctioning procedure, presented by IDFINANCE SPAIN, S.A.U., and the accompanying documentation are reproduced.

SEVENTH: On April 26, 2024, a copy of the file is sent to the responding party, containing all documents in the file up to that date.

From the actions taken in this procedure and the documentation in the file, the following has been established:

PROVEN FACTS

FIRST: On August 27, 2023, the personal data of the claimant was included in a solvency file at the request of the responding party, despite the fact that the debt is contested and has been admitted for processing in the Court of First Instance number 4 of Barcelona, on March 10, 2023.

SECOND: The responding party claims that it was a technical error and that the claimant's data has been removed from ASNEF, at its request.

LEGAL GROUNDS

I

Competence

In accordance with the provisions of Articles 58.2 and 60 of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, regarding the protection of natural persons with regard to the processing of personal data and the free movement of such data (GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 and 68.2 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, to the extent that they do not contradict them, by the general rules on administrative procedures in a subsidiary manner."

II

Preliminary Issues

In this case, the claimant reports the improper inclusion of their personal data in solvency files, as the debt is not yet certain or enforceable since it is being contested in an ongoing judicial process. The claimant asserts that the responding entity includes their personal data in credit information systems, in relation to a debt that is contested and has been admitted for processing in the Court of First Instance number 4 of Barcelona, on March 10, 2023, and submits a report from ASNEF regarding the inclusion of their data at the request of the responding party, dated August 27, 2023. The responding party claims that the reported facts are a security incident caused by a technical error (the misconfiguration of the Claimant's customer file button).

III

Article 6.1 of the GDPR

The GDPR in its Article 4.11 defines the consent of the data subject as “any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which they signify agreement, by a statement or by a clear affirmative action, to the processing of personal data relating to them.” Regarding the lawfulness of the processing of personal data, Article 6.1 of the GDPR establishes the following:

“1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) the processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
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- c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) the processing is necessary to protect vital interests of the data subject or another natural person;
- e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) the processing is necessary for the purposes of legitimate interests pursued by the data controller or by a third party, provided that such interests do not override the interests or the fundamental rights and freedoms of the data subject which require the protection of personal data, particularly when the data subject is a child.

The provisions of item f) of the first paragraph shall not apply to processing carried out by public authorities in the exercise of their functions.

In relation to credit information systems, we must refer to Article 20.1 of the LOPDGDD, highlighting its subsection b), which establishes the following:

“1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
- b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.
- c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

- d) That the data is only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the due date of the monetary, financial, or credit obligation.
- e) That the data relating to a specific debtor can only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary

amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

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When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system will inform those who may consult it according to the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation made, the person who consulted the system must inform the affected party of the result of that consultation.”

For its part, Article 20 of the LOPDGDD, relating to credit information systems, establishes the following:

“1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
- b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.
- c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

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d) That the data shall only be retained in the system as long as the non-compliance persists, with a maximum limit of five years from the date of expiration of the monetary, financial, or credit obligation.

e) That the data related to a specific debtor may only be accessed when the entity consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or the affected party has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts. When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system shall inform those who may consult it in accordance with the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation made, the entity that consulted the system shall inform the affected party of the result of such consultation.

2. The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall be considered co-responsible for the processing of the data, being subject to the provisions of Article 26 of Regulation (EU) 2016/679. It shall be the responsibility of the creditor to ensure that the requirements for the inclusion of the debt in the system are met, being liable for its non-existence or inaccuracy.

3. The presumption referred to in paragraph 1 of this article does not cover cases where the credit information is associated by the entity maintaining the system with additional information not contemplated in that paragraph, related to the debtor and obtained from other sources, in order to carry out profiling of the same, particularly through the application of credit scoring techniques.”

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IV

Classification of the infringement of Article 6.1 of the GDPR

The inclusion of the personal data of the complaining party in solvency files, despite the fact that the debt is not yet certain or enforceable because it is being contested in an ongoing judicial process, constitutes an infringement of Article 6.1 of the GDPR.

However, the responding party claims that it is not a credit institution, so the aggravating factor of Article 76.2 b) of the LOPDGDD does not apply. Subsequently, the responding party, in response to the initiation agreement, further states that it has already deregistered the complainant, which implies that it has the necessary technical and organizational security measures, asserting that the facts in question are the result of a technical error (the misconfiguration of the complainant's client file button), and that there is no improper data processing involved.

In this regard, it should first be noted that Article 76.2 b) of the LOPDGDD considers the link between the infringer's activity and the processing of personal data as an aggravating factor, which does not only apply to credit institutions but also to entities that provide financial services to users, as their activity involves the processing of personal data, which is why this aggravating factor is applicable. Regarding the consideration that it is a technical error, this is not an argument that exonerates the responding party from liability, nor does it grant legitimacy in the processing of personal data, as this has been an unlawful processing of data, since the personal data of the complaining party has been improperly registered in the ASNEF solvency file, despite the fact that the debt subject to registration is not certain as it is being legally contested.

For all these reasons, the reported facts constitute an infringement of Article 6.1 of the GDPR, as the inclusion of personal data in solvency files for a debt pending judicial resolution constitutes processing of personal data without evidence that the responding party has carried out the necessary balancing to determine the prevalence of its legitimate interest over the interests, rights, and freedoms of the complaining party, as this processing is not covered by the presumption of lawfulness provided for in Article 20 of the LOPDGDD since the required debt subject to inclusion in the solvency files is still not certain or enforceable as it is in an ongoing judicial process.

VI

Proposal for sanction for the infringement of Article 6.1 of the GDPR

Article 58.2 of the GDPR states the following: “Each supervisory authority shall have all of the following corrective powers:

b) to impose a reprimand on any controller or processor when the processing operations have infringed the provisions of this Regulation;

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d) order the responsible party or data processor to ensure that the processing operations comply with the provisions of this Regulation, when appropriate, in a specific manner and within a specified timeframe;

i) impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this section, depending on the circumstances of each particular case;

Furthermore, Article 72.1 b) of the LOPDGDD states that “based on what is established in Article 83.5 of Regulation (EU) 2016/679, the following are considered very serious and will prescribe after three years: violations that constitute a substantial breach of the articles mentioned therein and, in particular, the following:

b) The processing of personal data without any of the conditions for lawful processing set out in Article 6 of Regulation (EU) 2016/679.”

This violation may be sanctioned with a fine of up to €20,000,000 or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount, in accordance with Article 83.5 of the GDPR.

Furthermore, it is considered appropriate to graduate the sanction to be imposed according to the following criteria established in Article 83.2 of the GDPR:

As aggravating factors the following:

- In this case, we are dealing with negligent action (Article 83.2 b) since the personal data of the claimant has been included in solvency files, despite the debt being subject to ongoing judicial proceedings. Additionally, it must be taken into account that the claimant's data was retained despite knowledge of the judicial proceedings.

- The connection with the processing of personal data by the entity being claimed, as it is an entity that provides financial services to its users, according to Article 76.2 b) of the LOPDGDD.

It is appropriate to graduate the sanction to be imposed on the accused and set it at the amount of €70,000 in accordance with Article 58.2 of the GDPR.

VII

Adoption of measures

If the violation is confirmed, it may be agreed to impose on the responsible party the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may “order the responsible party or data processor to ensure that the processing operations comply with the provisions of this Regulation, when appropriate, in a specific manner and within a specified timeframe...”.

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In this specific case, the claimed party has indicated that the personal data of the claimant is no longer in the solvency file.

However, the claimed party is required to demonstrate, within one month from the receipt of the resolution of this sanctioning procedure, that the necessary security measures have been adopted to ensure that incidents like the one at hand, that is, incorporating the personal data of its clients into solvency files due to an uncertain debt, are not possible, not even as a result of a technical error.

The imposition of this measure is compatible with the sanction consisting of an administrative fine, according to the provisions of Article 83.2 of the GDPR.

It is noted that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative violation in accordance with the provisions of the GDPR, classified as a violation in Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning procedures.

In light of the above, the following

PROPOSAL FOR RESOLUTION

is issued:

That the Director of the Spanish Agency for Data Protection sanctions IDFINANCE SPAIN, S.A.U., with NIF A66487190, for a violation of Article 6 of the GDPR, classified under Article 83.5 of the GDPR, with a fine of €70,000 (seventy thousand euros).

That the Director of the Spanish Agency for Data Protection orders IDFINANCE SPAIN, S.A.U., with NIF A66487190, that pursuant to Article 58.2.d) of the GDPR, within one month from the receipt of the resolution of this sanctioning procedure, it must demonstrate that the personal data of the claimant is no longer in any solvency file due to a request from the claimed party for an uncertain debt, and that new improvement measures are being applied to prevent improper registration in solvency files due to a technical error.

Furthermore, in accordance with the provisions of Article 85.2 of the LPACAP, it is informed that it may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will entail a 20% reduction of the amount. With the application of this reduction, the sanction would be set at €56,000 (fifty-six thousand euros), and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures. The effectiveness of this reduction will be conditioned on the withdrawal or renunciation of any action or appeal in the administrative channel against the sanction.

In the event that it opts to proceed with the voluntary payment of the amount specified above, in accordance with the provisions of the cited Article 85.2, it must be made effective by depositing it in the restricted account No. IBAN: ES00 0000 0000 0000

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0000 0000 (BIC/SWIFT Code: XXXXXXXXXXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason, for voluntary payment, for the reduction of the amount of the sanction. Furthermore, the proof of payment must be sent to the General Subdirector of Inspection to proceed with closing the file.

In virtue of this, you are notified of the above, and the procedure is made known to you so that within TEN DAYS you may allege whatever you consider in your defense and present the documents and information you deem pertinent, in accordance with Article 89.2 of the LPACAP.

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INSPECTOR/INSTRUCTOR

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SECOND: On May 16, 2024, the respondent has proceeded to pay the sanction in the amount of 56,000 euros making use of the reduction provided for in the resolution proposal transcribed above.

THIRD: The payment made entails the waiver of any action or appeal in the administrative route against the sanction, in relation to the facts referred to in the resolution proposal.

FOURTH: In the resolution proposal transcribed above, the facts constituting the infringement were established, and it was proposed that, by the Director, measures be imposed on the responsible party to adjust their actions to the regulations, in accordance with what is established in the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...".

LEGAL GROUNDS

I

Competence

In accordance with the powers granted by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights

(hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

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Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when a pecuniary sanction and another non-pecuniary sanction can be imposed but the impropriety of the second has been justified, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure will apply reductions of at least 20% on the amount of the proposed sanction, which are cumulative. The aforementioned reductions must be determined in the notification of initiation of the procedure and their effectiveness will be conditioned on the withdrawal or waiver of any action or appeal in the administrative route against the sanction. The percentage of reduction provided for in this section may be increased by regulation."

In accordance with the above, the Director of the Spanish Agency for Data Protection RESOLVES:
FIRST: TO DECLARE the termination of procedure EXP202313713, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO ORDER IDFINANCE SPAIN, S.A.U. to notify the Agency of the adoption of the measures described in the legal grounds of the resolution proposal transcribed in this resolution within 1 month from the date this resolution becomes final and enforceable.

THIRD: TO NOTIFY this resolution to IDFINANCE SPAIN, S.A.U.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

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Against this resolution, which concludes the administrative process as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within a period of two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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